

income was public knowledge. On the other hand, most politicians who were known to have huge sums of unaccounted money could safely conceal those from the public.

In the last four months of 2007, as the market continued its climb, three well-known brokerages – Motilal Oswal Securities, Religare Enterprises and Edelweiss Capital – issued IPOs. All the issues fetched overwhelming response, and the stocks got off to a flying start on listing. Shares of Motilal Oswal and Religare Enterprises more than doubled in under two months. Shares of Edelweiss Capital surged 83 per cent on listing day itself.

Lucky were the investors who cashed out soon, because after the market crash of January 2008, shares of broking firms would be available for a fraction of their dizzying highs and stay depressed for a long time. And for many years ahead, the main source of income for these firms would be their lending business and not stockbroking.